Nexus Technologies Inc. - FY2026 Annual Financial Report

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SECTION 1: FINANCIAL PERFORMANCE HIGHLIGHTS

Nexus Enterprise Technologies Inc. completed Fiscal Year 2026 with record performance:

- Total Revenue reached $142.8 million, representing a 24.2% YoY increase compared to FY2025 ($115.0 million).

- Annual Recurring Revenue (ARR) closed at $128.5 million with a Net Dollar Retention (NDR) rate of 118.4%.

- Non-GAAP Gross Profit reached $111.7 million, delivering a strong Gross Margin of 78.2%.

- Adjusted EBITDA finished at $28.4 million, establishing a healthy 19.9% EBITDA margin.

SECTION 2: OPERATING EXPENSES ANALYSIS

Consolidated Operating Expenses for FY2026 totaled $83.3 million:

- Research & Development (R&D): $42.6 million (29.8% of revenue), reflecting continuous investment in scalable hybrid vector search and generative enterprise copilot features.

- Sales & Marketing (S&M): $26.8 million (18.8% of revenue), focused on enterprise Fortune 500 account expansion.

- General & Administrative (G&A): $13.9 million (9.7% of revenue), covering legal, accounting, compliance, and corporate facilities.

SECTION 3: CASH POSITION AND BALANCE SHEET

As of December 31, 2026, Nexus held $64.2 million in unrestricted cash, cash equivalents, and short-term US Treasury securities. Free Cash Flow generated during the fiscal year was $22.7 million. Long-term debt obligations remained at $0.00, preserving our debt-free capital structure.

SECTION 4: FY2027 FINANCIAL GUIDANCE

For Fiscal Year 2027, the executive leadership projects total revenue between $175.0 million and $182.0 million (23% - 27% growth), with non-GAAP operating margin expanding to 22.0% and targeted ARR reaching $160 million by Q4 2027.